

BUSINESS STUDIES

TIME: 2 HOURS

INDEX NO..... ADM NO.....

[illegible]

1. Give four features of Basic human wants.

(4 marks)

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2. State four essential elements of effective communication.

(4

marks)

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3. Outline four sources of government revenue.

(4 marks)

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4. State four ways in which a good filing system may facilitate the operation of an office. **(4 mks)**

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5. Outline four circumstances in which the government may be involved in businesses. **(4 mks)**

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6. Outline four reasons that may make a producer to by-pass the wholesaler when distributing goods.

(4 marks)

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7. Highlight four ways in which inflation is beneficial to a country. (4 marks)

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8. Highlight four types of demand. (4 marks)

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9. Classify the following resources as natural, man-made or human.
(4 marks)

RESOURCES	CLASSIFICATION
a) Engineer	
b) Boat	
c) Soda ash	
d) Driver	

10. The following trial balance was wrongly prepared by Shida Shida traders.

Shida Shida Traders
Trial Balance
For the year ended 31/12/2023

ITEMS	CREDIT	DEBIT
Building	400, 000	
Return inward		5,400
Carriage inward	4,000	
Carriage outward		6,800
Rent received	1,200	
Creditor	10,100	
Debtor		17,900
Return outward	800	
Stock	8,000	
Bank overdraft	19,500	
Prepaid insurance		9,000
Motor vehicle		200,000
Capital		619,500

(5

marks)

[illegible]

11. Outline four differences between ordinary shares and preference shares. (4 marks)

Ordinary shares	Preference shares
a)	a)
b)	b)
c)	c)
d)	d)

12. State the financial ratio described by each of the statement below. (4 marks)

Statement	Ratio
a) Determine the rate at which goods move in and out of the Business.	
b) Determine whether it was worth investing in the Business.	
c) Compare current assets with current liabilities	
d) Gross profit expressed as percentage of net sales.	

13. Highlight four causes of unemployment.

(4 marks)

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14. Outline four characteristics of an open air market.

(4 marks)

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15. Indicate the effect of each of the following transactions on assets, liabilities and capital by using increase, decrease or no effect.

(4 marks)

Transaction	Assets	Liabilities	Capital
a) Cashed a cheque for personal use.			
b) Bought premises on credit.			
c) Paid a creditor by cash.			
d) Converted a personal car into business use.			

16. Outline four functions of an entrepreneur.

(4 marks)

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17.State four reasons why flower exporter would transport their produce by Air rather than by sea.

(4 marks)

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18.State four types of advertising.

(4 marks)

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19.Give four basic features of a market.

(4 marks)

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20.Highlight four factors that limit the growth of a country’s National income. (4 marks)

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21.List four books of original entry that may be used to record transactions affecting stock.(4 mks)

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22.Outline four services offered by commercial banks to their customers. (4 marks)

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23. Outline four goals of development in Kenya.
(4 marks)

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24. Highlight four ways in which the balance of payment of a country may be improved.
(4 marks)

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25. The following balances were extracted from the books of Twain Traders on **30th April 2024**.

Premises	202,000
Creditors	60,500
Bank	5,200
Debtors	18,800
Bank overdraft	52,200

Determine the net worth of the business as at 30th April 2023.

(3 marks)

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